EXECUTIVE SUMMARY

A. Introduction

The Municipality of Lasam, Province of Cagayan was once part of the town of Gattaran. It became a town through a bill introduced by Congressman Paulino Alonzo of the second district of Cagayan. It was named after the late Governor Hilario Lasam and was inaugurated on July 1, 1952. Lasam is now classified as a third (3rd) class municipality.

The enactment of Republic Act 7160, otherwise known as the Local Government Code of 1991 extend powers of the LGU's to include not only the ability to create other sources of funds but also gives them total independence in planning, managing and deciding its own administrative and financial affairs in conformity with the national government trust of sustainable social and economic development.

The municipality maintains separate books of accounts for General Funds, Special Education Fund and Trust Funds. These are included in the consolidated financial statements. The General Fund consists of General Fund Proper and the special accounts like Markets and Slaughterhouses, Other Economic Enterprises and the 20% Development Fund.

The Municipality of Lasam is composed of 30 Barangays.

B. Highlights of Financial Information

Presented below are the financial position and sources of funds, appropriations and obligations of the Municipality for the years 2015 and 2014:

a. The LGU's Assets, Liabilities and Government Equity is presented as follows:

	2015	2014	Increase (Decrease)
Assets	120,773,898.38	84,879,778.46	35,894,119.92
Liabilities	20,891,934.10	17,968,731.92	2,923,202.18
Government Equity	99,881,964.28	66,911,046.54	32,970,917.74

b. Income and Expenses

	2015	2014	Increase (Decrease)
Income	104,079,560.00	92,751,500.80	11,328,059.20
Expenses	71,199,228.76	87,886,361.08	(16,687,132.32)

c. Appropriations/Obligation

	2015	2014	Increase (Decrease)
Appropriations	101,120,000.00	103,221,191.86	(2,101,191.18)

Obligations	94,398,491.50	87,054,552.11	7,343,939.39

d. Summary of Suspensions, Disallowances and Charges as of Year End

	2015	2014	Increase (Decrease)
Suspensions	219,895.45	-	219,895.45
Disallowances	-	-	-
Charges	-	-	-
Total	**219,895.45**	**-**	**219,895.45**

The municipality's assets, liabilities and equity increased by ₱35,894,119.92, ₱2,923,202.18 and ₱32,970,917.74 respectively. Total income amounted to ₱104,079,560.00 which is ₱11,328,059.20 higher than last year's collection amounting to ₱92,751,500.80.

C. Scope of Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipal Government of Lasam, Cagayan for the year ended December 31, 2015. The audit consisted of the review of operating procedures, inspections of projects, interview of concerned officials and employees, verification, reconciliation and analysis of accounts and such other procedures considered necessary.

D. Auditor's Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the Financial Statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at ₱74,743,937.99 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to conduct physical inventory of all properties and absence of property and equipment ledger cards maintained.

E. Significant Findings and Recommendations

The findings and recommendations were discussed with LGU officials and management comments were incorporated in the report, where appropriate. The significant findings and recommendations are as follows:

1. Disbursement vouchers totaling ₱8,993,938.78 covering transactions for the year ended December 31, 2015 were not yet submitted to the Office of the Auditor, thus preventing proper review and examination of the same.

We recommended that Management submit the disbursements vouchers to the Office of the Auditor and to comply strictly with the above regulations on the submission of accounts.

2. Collections were not deposited intact and regularly with the authorized depository bank resulting to undeposited collections of ₱ 287,411.99 as of cash examination date contrary to Section 28 of COA Circular No. 92-382 dated July 3, 1992 and Section 32 of COA Circular 2002-003 dated June 20, 2002.

We recommended that the Municipal Treasurer deposit intact all her collections as well as collections turned over to her by the collectors with authorized depository bank daily or not later than the next banking day pursuant Section 28 of COA Circular No. 92-382 dated July 3,1992 and Section 32 of COA Circular 2002-003 dated June 20, 2002.

3. Cash Advances for various expenses of several officials and employees of the municipality were granted in violation of Section 89 of Presidential Decree No. 1445, and COA Circular 97-002 dated February 10, 1997, resulting to unliquidated cash advances totaling to ₱19,054,368.00.

We recommended that management strictly implement the above provisions of COA Circular No. 97-002 and P.D. 1445 in the granting and liquidation of cash advances. In addition we recommended that management require the concerned officials and employees with unliquidated cash advances to immediately settle their outstanding cash advances.

4.Payment of financial assistance to different barangays and various donations to other individuals/entities totaling ₱95,830.00 and ₱466,000.00, respectively were made notwithstanding the absence of required basic documents supporting the claims, contrary to Section 4 (2 & 6) of P.D. 1445, thus casting doubt on the necessity and propriety of the transactions. Likewise, there is no proper control and specific guidelines being followed in the grant of financial assistance.

We recommended that management strictly comply with the provisions of Section 4(2& 6) of P.D. 1445. Management is likewise required to formulate a policy on the grant of financial assistance to individuals/entity based on the necessity, immediate need as well as basis of amount to be granted.

5. The physical existence and condition of the Property, Plant and Equipment, as well as correctness and validity of the account valued to ₱74,743,937.99 (net of depreciation) as of December 31, 2015 could not be ascertained due to the failure of management to conduct physical inventory and the lack of property documents/records, contrary to Section 119,120 and 124 of the New Government Accounting System (NGAS) Manual.

We reiterate our previous year's audit recommendations that the Local Chief executive create an Inventory Committee to conduct the required physical inventory of all properties and to prepare and submit to the auditor concerned the

required Report of the Physical Count on Property, Plant and Equipment (RPCPPE) not later than January 31 of each year.

Likewise, instruct the Municipal Accountant and the Municipal Treasurer to maintain Property Ledger Cards and to reconcile the RPCPPE with the accounting records.

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the seven (13) audit recommendations contained in the Annual Audit Report for Calendar Year 2014, four (2) were fully implemented, one (10) was not implemented and two (1) were partially implemented.